Nvidiaâ€™s Scandal: Buying Opportunity or Bigger Trouble?

Podcast: Know your risk

AI Executive Summary

Core Thesis

The podcast delves into the macroeconomic landscape, focusing on inflation, interest rates, and geopolitical tensions, particularly regarding Iran and the Middle East. The hosts discuss the current state of the stock market, the potential for a significant move in oil prices, and the implications for investors. The conversation also touches on the upcoming earnings season and the strategic positioning of retirement portfolios for the future.

Key Arguments & Data

- **Inflation and Interest Rates**: The hosts discuss the recent rise in inflation, citing the 4% headline rate, and the subsequent increase in interest rates, with the Federal Reserve expected to hike rates by 50 basis points. They argue that the Fed's reaction to inflation was delayed, despite clear signs of rising costs.
- **Oil Prices**: There is a consensus that oil prices are likely to continue to fluctuate, with the hosts noting that the market is discounting a potential deal with Iran. However, they remain cautious, given the political complexities and the potential for geopolitical events to impact prices.
- **AI and Tech Stocks**: The hosts debate the valuation of AI companies, with one suggesting that Nvidia is undervalued at 148, while the other is more cautious, noting the potential for significant earnings cuts. They also discuss the impact of geopolitical tensions on tech companies and the broader market.
- **Earnings Season**: The hosts mention a few upcoming earnings reports, including CoreWeave and Applied Materials, highlighting the importance of these events for investors.
- **Geopolitical Tensions**: The conversation includes a discussion on the potential for conflict in the Middle East, particularly with Iran, and the impact of such events on oil prices and broader market stability.

Actionable Takeaways

- **Risk Management**: Investors are advised to focus on risk management and diversification, particularly in light of the uncertain macroeconomic environment. The hosts recommend joining a webinar on retirement portfolio management to better prepare for future market conditions.
- **Market Timing**: The hosts suggest that while the market may be undervalued, caution is advised due to the complex geopolitical landscape. They recommend setting specific thresholds for entry into the market, such as 148 for Nvidia.
- **Earnings Preparation**: Investors are encouraged to stay informed about upcoming earnings reports and to be prepared for potential earnings cuts, especially in the tech sector.
- **Geopolitical Awareness**: The hosts emphasize the importance of staying informed about geopolitical events, particularly those involving Iran and the Middle East, as they can significantly impact market conditions.
- **Long-Term Strategy**: The hosts recommend a long-term strategy focused on retirement planning, with a focus on lowering risk and costs while maximizing potential upside.

Diarized Transcript

SPEAKER_00: Now at some level, it gets to so cheap that whatever, who cares? Like you just give me some, but for me, it ain't there yet.

SPEAKER_05: and what we're watching as investors head into next year. Bullwork is focused on risk management, always looking for opportunities to lower your risk, lower cost, and give your retirement as much upside as possible. You can't control what happens next.

SPEAKER_00: But you can control how you prepare for it. Join Zach's Taking Control webinar November 19th, 3.30 p.m. Pacific Time. It's live and it's free. Register now at knowyourriskpodcast.com and subscribe to Zach's daily podcast on YouTube and at knowyourriskpodcast.com. That's knowyourriskpodcast.com.

SPEAKER_01: The opinions expressed in this program are for general informational purposes only and are not intended to provide specific advice or recommendations for any individual or on any specific security. It is only intended to provide education about the financial industry. To determine which investments may be appropriate for you, consult your financial advisor prior to investing. Any past performance discussed during this program is no guarantee of future results. Any indices referenced for comparison are unmanaged and cannot be invested into directly. Any references to performance of securities are thought to be materially accurate and actual performance may differ. As always, please remember investing involves risk and possible loss of principal capital. Please seek advice from a licensed professional.

SPEAKER_05: And we are back with another edition of the Daily Dots, and I'm shuffling my chair here as I get a little off-center. Anyway, Chase joining us from home, taking care of a little domestic duties. And I'm joined by the Brain Trust himself, Mr. Chase Taylor. Not my best intro there. So I have a sick kid and people doing gutters and the moss streaking on the roof, so it might get loud up in here. Is it going to sound like a cruise ship kitchen? Yeah, I might be I might be the problem today. Although I'll hit

mute if it starts getting wild. That's a shot across the bow there. Thanks. No, I like I told people I it's so funny like you. Well, you hear when I hear if I I pulled it up just to hear it and I was like, wow, that was really loud. I didn't hear any of it, man. I just I'm the father of three kids and two two of them are boys and they're both insane. You know, there's. There's a cacophony of sound typically in the house My wife just mutes it for you. Oh It has to can you imagine? You know what? I would be like if I responded to every loud noise or bang in that house I'd be like a cat on a hot tin roof man. It would never stop Those kids are yeah. I told you last year middle of football season. My youngest gets a concussion Does he get a concussion playing football? Nope gets a concussion running from his little bit from his older brother downstairs looking backward and ran into a wall. Yeah. This is what I'm and he's a really smart kid too. Yeah. I can't say that when I was a kid. Yeah. Oh my gosh, man. Little boys. It's so, and then you find yourself getting so worked up and just as you're out ready to lay the hammer, you're like, Oh yeah. I remember when I did the exact same thing. So true. Yeah. Yeah. Like I, you know, like, you know, go out and do something crazy, like shoot a neighbor's cow with a paintball gun.

SPEAKER_04: Been there done that I'm just gonna say that was directly that was directly aimed at you my friend and forgot to destroy the evidence. So I got busted Did you get double whammy? Did you tell the truth or did you get in trouble for lying about it? Oh Man, I don't double whammy was the worst man So the guy came to the door and was like, I think your son shot my cows my first my dad's like absolutely not And he's like, well, what color are his paintballs? he's like, my cows are, they got orange spots all over them. And I know he has a gun, I've seen him. So my dad's like, hold on. And at that point, I know it's over because he goes to my closet and then he comes back and he's like, I'll take care of it. And I was just like, this is going to be bad for me. Because we had a rule. We had a rule. If you did the crime, you did the time. But if you lied about the crime, it was automatically a doubling of the sentence. Now remember I never lied but the guy before he came to my house kept trying to call and I would see it on the caller ID and I would smoke the call out to where like it never got to my dad. You know why I thought he would never come to the house two blocks away I don't know but and by blocks I don't mean real blocks because it was middle of country but it's like that's the time when I was in first grade

and my mom sent that note with with me to school in my lunchbox asking the teacher how my behavior had been and I

SPEAKER_05: Went to daycare afterwards, right? And I went over to the big roll. Remember those giant rolls of white butcher paper? Remember that? Do you guys have that? The daycare I went to, they used to order that for all of us to color on. So I tore a corner of that bad boy off, wrote my mom a note, forged the teacher's signature on a torn corner of butcher paper. Cause that's how she would do. Yep. And dear, I spelled D E R E D E E R not E A R.

SPEAKER_04: My mom tells a story. She's like, I first saw the note. She goes, oh, I thought, oh my God, his teacher's illiterate. And my dad's like, no, honey, his teacher can read and write just fine. Anyway, let's do the rundown, man. We got 10 minutes left in the session. Yeah, exactly. So S&P at the moment down 0.33. We'll get into why that's actually not bad on a day like today, but Q's down 0.7, equal weight flat, small caps down 0.7, max seven down about half a percent. AI though, down about 2% X us down about 0.6. And that's because the dollar's up about 0.6. Yeah. And that is because rates, which we'll touch on here in just a second. Let's see. The only thing of note really inside max seven, as you might guess, is Nvidia down another 5.8%. Um, I gotta say that New York times is, is doing that thing where you don't know what they know. So they keep dripping more stuff out every day, which It's going to make some people look bad and already is because they say some stuff and the next day's news is like, Oh, you lied. Anyway, uh, oil down 0.4. That's despite a lot of job owning kind of kind of impressive in that sense though, we're still way off the highs. So it's not that impressive. We have fallen for job owning again. Um, and then rates, you're actually a good bit off the highs, but you're up 16 basis points on the two year and 10 on the, on the 10 year. So obviously a good bit higher. Of all basically flat on the day And the reason we're here for the rates dollar Surprise surprise inflation was hot I'm making jokes. I'm gonna be the one yelling at clouds today because the Fed somehow didn't see this inflation coming despite a war that made diesel, you know go up a bajillion percent, but whatever like you had Walter come out today and basically say oh, yeah, maybe we should probably do some a 50 basis point hike Literally two months ago, he said, oh, inflation is about to start falling. We're going

to be like this. We're good. They didn't hike in the last meeting. And now all of a sudden, everyone's freaking out because inflation, three hot prints in a row. You're basically at 4% on headline. My reaction to that is like, yeah, no kidding. This was obviously going to happen eight months ago. But whatever. That's where we're at. So you actually added

SPEAKER_05: a full hike essentially into the curve today. You went from two hikes to three hikes back into the, the sofa curve for the next whatever, like two, three years. Well, I, you know, I know, to be fair to Waller though, I look, I, I mean, there is, I, it's not completely out of question for those guys to not make them like, make a monetary, like, you know, and I can't, and I'm not pulling any specific circumstances, but I just know that there've been multiple times where You had something that the fed saw as temporarily spurring inflation that they won't act on it. I mean, there is some precedent there. Sure. At the same time, to your point, if you weren't looking at this, I and I don't look, I've gotten things wrong and I'll get plenty. He could he could have said that two months ago. That's my thing. He did. Yeah, he could have said it two months ago. The flip side is to is for every people out there that this inflation is catching anybody off guard. I don't know where you've been. You know what I mean? Like, wait, huh? Right? Like, water's wet. You know, like, of course. What are we talking about, right? You got all time highs in diesel. I mean, among other things, right? But I'm just saying you show me that. Just that is going to make prices go up for essentially everything. Yeah. For everything. We had a whole episode talking about it. Yeah. I just, I'm, yeah.

SPEAKER_04: And now he's like, that's what, and now that's what he's citing. Cause they were like, yeah, but dude, oil's down like 22%. He's like, yeah, but diesel's not going to be able to go down. And he starts like giving you a lecture on cracks and refining margins. It's like, okay, maybe set this one out. Well, I mean, hey, diesel's 20% off the highs at the wholesale level. Like, so he's even wrong about that. Well, yeah, he's talking about that, like it's news. And I'm like, let's, let's add that to the list of things that hasn't changed over the last 60 days.

SPEAKER_05: That's the point I'm making. It's actually better than it was 60 days ago, bro. I don't know. There's so many different things coming out

of different government officials that are just head scratchers to me that I feel like are just making this whole environment a lot tougher to read. For sure. Yeah, anyway. What else we see today?

SPEAKER_04: Anthropic is going to go public here in nine days. It looks like will be the first day of trading. This is an interesting time. We talked about this on the morning call internally today, but going into last weekend, I actually thought this might be the weekend we actually launched something kinetic. Obviously, we didn't even been de-escalating, at least verbally. But I think part of that is you have to get that IPO through. You know, we get that carrier there in like five, six, seven days, whatever it is. And then you get, uh, anthropic in nine days. Oil will be, you know, 75 bucks instead of 110 or whatever. Like it just makes sense for like, if you're going to do something, I'm not saying you are. They may just decide to stay status quo. Uh, after that would be a window of time that made a lot of sense. Um, we'll see. Hey, you know what I meant to ask you about on the call that I forgot to ask you about this morning? Um, what, what do you,

SPEAKER_05: Well, Pat brought up Nat gas and I was going to jokingly jump in there and just go, wait a second. Somebody else is really bullish Nat gas on this call and it's not chase. Not saying you're always bullish Nat gas, but I've been super bearish for last year. Yeah. Yeah. But if you were to tell me somebody on the call today is really bullish Nat gas, I'd be like, it's gotta be chase, right? Uh, what did you think about his call or, or, or his thoughts on that gas? You and I, you didn't give your opinion on that. Yeah. So I have been very bearish since the war started.

SPEAKER_04: And I've been very, very right. It's gotten. It's gotten smashed, but right for the wrong reasons, sort of. I thought you would get a bit of a surge in U.S. oil production. That's what I was. Yeah. And that would create a bunch of associated gas production. The interesting thing is, and this is why I say right for the wrong reasons, that did happen. You did get a bunch more associated gas production, but it had nothing to do with increased oil production. They just did it anyway. So. In the U.S., gas production is too high, and I figured you would have a mild fall in winter, and that would be, you would add a lot of supply, and that would be terrible for gas. But personally, I had puts on the futures going back to when they

were four to say three, which is, you know, pretty big. That was tripled. You did go all the way down to three. But I got out of that trade, I don't know, like 10 days ago or something, and then, you know, it has nothing to do with my timing. You got the weather models flipped a little bit to where the East Coast got a little bit cooler. And now you have jumped out of there. And to Pat's point, he was making like, well, now you have positioning pretty short. And I think that's totally fair. It's one of the reasons I exited the trade was, oh, I mean, when something goes straight down 25%, 30% or whatever, that's good enough for me. From a positioning standpoint, no beef. You can get a bit of at least a mini squeeze. But I think over the next six months, you're going to add a lot of gas into storage in the US. And so I don't think you're maybe you can go back to four bucks or something. But like, I don't I don't see anything above that, really, unless you get really lucky and you have some, you know, maybe you get to pull a vortex moves or something this winter, which is I just doubt it, given the given the the setup, you know, with El Nino and everything. So don't love it. If I was going to do anything with gas, it would have to be more some optionality on the LNG going to Europe or something like that. That's different. Germany is running insanely low on gas, so the price response there can get crazy. Same for, and one thing I very much agree with Pat on, he's talking about seaborne coal. Thermal coal can get rowdy for no other reason than just basic gas to coal switching and stuff. Um, I could see, I could see a spike, a real, a real spike globally for those two things, but not, not for us gas because we can only export so much. So pretty meaningful pullback in oil here. Um, down at, you know, wti at 86, 86 and change 87 right around there. Right. We have 86, 40 at the moment front month wti up. Okay. Um, 27% drawdown from the highs of March.

SPEAKER_05: Well, yeah, but we're What is it done in the last two weeks? I mean we were just at a hundred yeah, so if you so you peaked on on October 30th and For the move there you're down about 17 and change percent. We're at the 200 day That's really interesting to me because I You and I were talking about this yesterday and I spent more time thinking about it last night At this price the market is 100% discounting something getting done in Iran. Yeah Why and how and the fact the other the the other reason that I'm listening to that a little bit more than I would have in the past is We went we went a good stretch there where oil didn't even blink at the job

owning attempts now all of a sudden it is And I'm kind of going What's what's changed here? I? So I think I think it's a combo of a the election some people think that changed everything. I'm not one of those people and then

SPEAKER_04: Although like I will I think time is a forcing function is a little different now But that that could drive an attack instead of you know chilling and then the job owning got relentless it became every day and I think Iran's kind of falling forward again where they're like, yeah Okay, we did have some talks and then everyone's like, oh, you know, they confirmed it they confirmed what? You know these same five sources that have been lying to everybody's face for eight months. They're saying But Iran confirmed it today. Only that they have had some talks, but like their principle negotiating guy right now, if you can go read him on Twitter today, he basically just threw cold water and everything that we're saying like, no, like we're not talking about nuclear. We, you have to meet the seven demands before like anything good happens. Like the whole, he'd literally just tap the sign, but what we get, we're getting the same three agencies Axios, Al Jadid and Al Arabia. citing the same Pakistani and Kuwait, or not Kuwaiti, but Qatari sources saying that, oh man, breakthroughs, we're getting so close, this is great. One of the reasons, Trump himself has definitely pulled down the rhetoric and what created the initial drop was JD Vance's original tweet right after the election to be like, this is the biggest reason we lost. And basically like, Trump said like, yeah, I'm going to give JD a chance to negotiate out of this thing. Um, but no one has said, you know what? We're going to give them a bag of money and we're going to be fine with that. And we're going to be fine with letting go of the sanctions. Like all of the stuff that has been the gate that we have to go through to get there. They have over and over said, yeah, we're not doing like, I think it was today Rubio came out and said, like, these demands are completely insane. They're asking for a pallet of cash. We're never going to do that. And like, so the reality is neither side agrees on the stuff that matters yet. Like, so this whole, all the optimism is just pure speculation, just pure unadulterated speculation until I see someone important, really important, mostly Trump say like, yeah, it's fine. We'll give them a bag of money and let go of the sanctions and let them control the straight. That's when we know it's over. But until then,

SPEAKER_05: Well, even if he does that, he's not going to say that. This is just right. Right. But you would have to be able to read that through, you know, he signed a document and said that once. But yeah, I will. And the tough part about it with me is, and we talked about this on our call a little bit today, if you like if past is prologue, if you don't own oil now is probably a pretty good time to buy some. The one thing that gives me some pause though is the or Susie Wiles no longer being there and I just get the feeling and this is not this is just rank speculation on my part so take it for what it's worth, but I I I shouldn't say I get the feeling because if you were if I'm a If you were to put a gun to my head and say I've got a bet it one way or the other I'd say oil is probably a buy and this is nonsensical job owning and buy it and and I think it's really hard to look at the last eight months and go no no This time it's true, right? Like there is that however, there was a big result and based on what Trump was saying about Iran going into the election and what he's saying after Strikes me as a bit odd meaning if you're sitting there and we talked about this a little bit yesterday But spending more time thinking about it if you were it makes no sense to me as unpopular as that war is is that he was pounding the drum the war drums right up until the day before the election and then and then and then actually hits them the night before the election. Right. Despite saying we've been hitting a lot in the last three weeks. Yeah. Right. And then all of a sudden after the election, his tone is softening. The one thing I was saying is I think we have to keep an open mind to the possibility that as wild as this sounds, I think there's a potential possibility that the outcome of the election last Tuesday and how unpopular the Iran war was. That he wasn't quite aware of the level of both and I think that's fair because no one tells a bad news Now he has the internet I assume in his office So you would think he's stumbling like hard copies man somebody saying like hey and people don't like this war But I could be wrong. He likes hard copies and I'm not saying not to die. I'm not Dump it Duncan on Trump. I'm just like saying I think that he is uniquely susceptible to hearing what people think he only wants to hear And when I see Susie Wiles head roll after that, that's a big one because I, you know, you look at his, it's, it's well, it does not get to him. It's well known. Yeah. Yes. Yes. And with Susie Wiles being gone and some of the other things that are being talked about, including looking at, it sounds like Hegseth might head might be on the chopping board and now Trump's softening his stance. I think, I think we have to be adamantly said Hegseth's

not going anywhere. Now he said the same thing about Wiles, like three days before he fired her, but so, you know, take that with a shot of tequila, but. I know he said on Tuesday, thank me for the stock market. And then on Thursday he said the Democrats are right crash. So I mean, you know, it's all over the place and we know he's going to try to claim anything good that develops and he's going to disown anything negative. I'm just saying that his tone has struck me as a little bit off. Then I look at the move on oil and I'm sitting there going. Maybe the market is sniffing this one out. Maybe he is ready. Because like you and I said, all along I've never, I don't understand why five months ago he just didn't call no joy. People go, well, the straight was so closed. And I'm like, I honestly think if he left, global pressures from other countries would have made the straight open, or mostly- If he left early enough, they couldn't have kept it closed. Yeah, they couldn't have kept it closed. So look- I've always thought that he's gonna have to just leave eventually, and if he's come to that conclusion, then he might be preparing a way to try to get out and save as much space as he can at the same time. And that could be what, I'm just saying I'm more open to that idea than I have been in the past. Now, every single time that I have thought that he would make more of a de-escalation type move, he hasn't, right? Like full stop or full disclosure, I'm the guy that said he was moving the aircraft carrier, I think it was the Lincoln, into the Gulf for leverage, and that was incorrect.

SPEAKER_00: Inflation, interest rates, AI spending, midterm results, you name it, you can't control any of it. But there is one thing that you can control, and that is how your retirement portfolio is positioned for 2027. Join Bulwark Capital's Zach Abraham for his free Taking Control live webinar November 19th at 3.30 p.m. Pacific Time. At our webinar, we'll review the forces that shaped this year's markets and what we're watching as investors head into next year. Bulwark is focused on risk management. always looking for opportunities to lower your risk, lower cost, and give your retirement as much upside as possible. You can't control what happens next, but you can control how you prepare for it. Join Zach's Taking Control webinar November 19th, 3.30 p.m. Pacific Time. It's live and it's free. Register now at knowyourriskpodcast.com and subscribe to Zach's daily podcast on YouTube and at knowyourriskpodcast.com. That's knowyourriskpodcast.com.

SPEAKER_01: Something important to note here, I think, that does help explain why we haven't done that or why he's softening his tone.

SPEAKER_04: It's just the gold states. Like they are obviously super against us going in there and carpet bombing again, because at the end of the day, like they're the, they're the, they're the face that gets punched. Yeah. When we do that, you know, like we're willing to fight this war. And so the last bit of golf infrastructure, but the golf, not, not as much, you know, like, duh. Um, but that doesn't mean that's the, that doesn't mean it won't happen. Right. There's a lot of pressure there. I don't want to be the dead horse, but fight for what that's the other, you know,

SPEAKER_05: I've said it so many times and I don't even want to bring it up against people like, Oh, you've said it a million times. I know. I know. I just, I'm sorry. My brain just stuck on that. Like this. Can somebody please tell me what we're doing again? Just trying to keep LA safe. 10 more bombs. We'll get there. If we just made those bomb craters a little bit bigger, right? That had shown that has shown. I think, I think human nature is to not take losses. It's still like, if you come to a fork in the road and it's like, you can kick a can or you can take a loss publicly. And everyone looks at it and sees it. You're like, Cool. Can I buy a week? Let's buy a week until you can't anymore. You know what's funny? I think that that that is absolutely true, right? Like especially in the realm of politics. The funny thing is I think Trump's first election in 26. I think it taught some lessons that have not been that have not been adhered to by most politicians, meaning. I think the vast majority of politicians out there still really undervalue the appetite of the electorate for no nonsense, right? Meaning. I think, I think if you came out as a politician and say, look, I've been wrong on this. I screwed this up. Here's, here's how I think we need to fix this and reattach this. Here's how I'm going to go after it. I honestly think you'd see his approval ratings pop. Like people are so tired of hearing that my entire adult life. Yeah, I agree. I agree. And, and, and the thing that cemented that for me, and I'll go back to this 10 years ago, but when he stood up on that stage in the debate against Hillary Clinton and he goes, no, whether right or wrong, I'm just saying I know you're crooked because I paid you. I just sat there and I went, I always thought that that type of candor, whether right or wrong, whether true or not, that that type of candor, I thought that the

appetite of the electorate had changed. People want no nonsense. And I think the election of Trump proved that. And I think when you look at some of the people that won in this election cycle, I think that that reiterated it, meaning we're past that. That to me that's a vestige of years gone by meaning nobody thinks that politicians have all the answers and are the you know the wizards behind the you know, the Any sense of mysticism or magic that once surrounded powerful politicians? I I either I think the the electorate looks at them in a far different light than that You know what? I mean, I don't think any politician is for instance You don't have any politicians out there that are admired by the public like the way a JFK was Right. This doesn't exist, right? And so I just, I think that desire, that appetite or that, that hunger for just tell me like it is, man, just give it to you straight. And that's why I like this administration and then the Biden administration before it, when they gaslight the public, you're just like that, that isn't going to work. That's a bad set. People aren't that stupid. No, it's just, and it's so outdated. Why are you not caught? Just stand up. Like for instance, you know, and again, I think, I think the writing was already, it was already a done deal by the time he did this. But it was like when he sat there and said, there is no, that's fake news of an affordability crisis. It's like, that's what you ran on. That's what you ran. That's how you got here. Yeah. And just, and look, I think your story on Iran is nonsense, but, but, but at least tell them that, you know, and he did, he said, look, I think it's worth it. I think it's worth what we're accomplishing, but even that's better than saying, don't disavow what's going on. Everybody can see right in front of them. It's just bad politics, but.

SPEAKER_04: Anyway, what else we got coming up this week? What do we got on the docket for earnings? Oh, man. I have to check. There's not as much this week as we have had. There was like one or two interesting ones. I think CoreWeave, which lately has gotten really interesting. But other than that, I don't think there was that much. I think Nvidia's next week. Speaking of core weaves up five percent after hours Yeah, I think they're reported after hours speaking of okay. Okay. Well Naturally, it's the one time I can't find the little map I have for earnings They they I mean they've gotten slaughtered recently Emily Yeah, I mean and it makes sense like they're you know, they're their interest cost is more than than they can make so They're fine as long as they have a financing bridge to get there because they're

going to make a ton of money in the future. But, you know, if the financing bridge ain't there, then they got big, big, big, big problems. All right. So today we have core weave after hours. So that's why they're moving. Must be some decent news early, early there. Really nothing else to mention today, in my opinion. Tomorrow, I guess, applied materials. That would be a big one. Unless it's applied something else, I can't read it close enough. Now it's up almost seven. Cisco tomorrow. If anyone cares about that or went Thursday. Um, yeah, it's kind of, it's honestly, there's just not, not, not really too many big names the rest of the week. So honestly, yeah, they're the big one for, for this week. So this is unless you, unless you're, you know, unless you're real dialed in on, on the Yeti earnings, you know, but I mean, that's, that's what I'm here for. Uh, it is a rook chart by the way. I'm not saying enough to put him in jail, but enough to be like, man, that's so bad that you can't run this company anymore. I think it's possible. But this is worse for the government than it is for him at the moment because they knew this was going on and obviously didn't do anything about it. And there's so many questions that have to be answered because of that. But if the AI build out goes on, man, they still need those chips, dude. So that's what I'm saying. For the next five years, absolutely, the earnings are gonna be the earnings. It doesn't matter if Jensen is steering or not, but the terminal value of the company is lower because this freak that made this company and saw around corners is gone. That's, to your point, he's Mr. AI. He's the face of the trade. He was on the cover of The Economist, whatever it was, two months ago.

SPEAKER_05: as like looking at looking at a crystal ball. He never should have agreed to do that. Economists don't miss. I'm telling you. Yeah, that marked his top. That's for sure. And I saved that one. I was like, this feels big. I didn't know it was going to be this. But you know, the one that I leaked this and why is fascinating. I'll tell you what, the one to save was the one when he was signed in the breast. I mean, that was the one.

SPEAKER_04: You know how many people call the top on that and they I know I know a million percent. I know. And the funny thing is, as it relates to his his run at Nvidia, they may have been correct. I mean, it didn't prove correct on the stock price. But the fact that they they apparently intervene to get the U.S. government to stop investigating potentially and to facilitate

chips to that lady's company that kind of obviously at this point, smuggle chips like that, that's bad. If you played a role and your biggest adversary getting the most game changing technology on the planet while you're trying to compete with them in that realm, that's not good. He needs to answer that before before we can move on. Now, at some level, it gets to so cheap that whatever, who cares? Like you just give me some. But for me, it ain't there yet. Well, where would that level be? I think it was like 139 that I mentioned to someone today. Um, so 148 is pretty decent. Like at 148, I think I'm dipping the toe in and then a 90 if at 94, I'm probably just, you know, I'm marshaling the rest and this come on in. I mean, I can only unless the facts have changed on the way that you can't ignore. But if 148 148 is worth upon at 94, I'd be buying with both hands.

SPEAKER_05: I mean, again, assuming that nothing else changed, but I, nothing big. Yeah. The other thing, man. Yeah, go ahead. Well, the other thing, I mean, we're not talking about, this is a guy that's got a lot of, I, he's just connected. There's, and anybody in the world's picking up a call from this cat. I, guys, I, yeah, I don't, I, in the world we're living in here, post-epstein, I just, I, I've got a tough time seeing the, the, the sword of justice falling on Wang here. I just do. If that didn't do anything, yeah, you'd think. But yeah, and I'll tell you, I'm tempted to fade the hell out of this move. It could be one of those things a lot like that, where it's like the deeper you go, it gets so bad. You're like, well, we can't tell people this. Well, and then and then, you know, you know, the other thing is I sit there and I go, he wouldn't do that. And you go, OK, well, history has told me men have done stupider things for the same reason. So, you know, yeah.

SPEAKER_04: You know, maybe he's like, whatever, they're going to get a few chips. Like if my girlfriend still likes me and that's worth it. Like it could have been something where in his head it was like, it's pretty innocent to give China a few chips, right? That's not that bad. I would just think that if any, if I would just think that if anything untoward happened, it would had to have happened without him knowing. I just, it seems like to me he facilitated this stuff. And it's funny because Trump was like, yeah, but he didn't know she was a spy. It's fine. I'm like, Dude, the whole point of a spy is you don't know they're a spy. That's why. What do you mean? That makes it OK. Like they don't typically put it on their business card. Right. That is

the source of the problem is he didn't know she was a spy. Yeah, he did. This probably would be great. He could have flipped her and made her a double or something. But like, I don't know. I did. This just feels like the classic. I don't know. Like you said, and that's the problem is it's I don't know, man. I get it. Yeah, I got I got to think about this because I'm sitting there watching this and going. They're 10 times 20, 28 earnings. And didn't you say they're like 13 times, even if earnings come in, what was that deal, 30% light? A 30% haircut was gonna be 15, it's probably down to 14 after they've got hit some more. So I looked at Micron today, speaking of this. Now again, caveat, it's always like this at the top of the cycle, I'll say, but if Micron's 20, 28 earnings, estimates get cut in half. It's six times earnings. If they get cut in half, 6.7 to be fair. So yeah, I mean, yeah, but the, the difference there is the Chinese founders are coming directly for them. Meaning where you look at Nvidia and you're like, right. You don't have the same for sure. But yeah, a lot of that's in the price. It's six times earnings. I mean, you're hard to argue on a 50% haircut of expectations, which Man, it's gonna be hard to realize a 50% header, but it can happen. Yeah, but that means the whole thing is being priced is the whole landscape of CapEx and the bill that would have to change drastically for that to be the case. And if that happens, SpaceX is a buy. Man, that's that makes me just want to throw up, but not on real life valuations, but on what the way the market will treat it. Playing the player instead of your cards. SpaceX revenue will go nuts on their. on the neocloud revenue they're gonna make selling into sort of germ. And the bears will, and here's how that'll play out. The bears will sit there and go, this is so stupid because it's already priced in. Look at all this stuff. But here's the deal. When revenues and earnings are flying like that, nobody cares. They're gonna all bid that sucker up. Play the player, the beauty contest, not the cards you got, not the reality. It'll probably rip for a little while. Now, I would rent that, not own that. I would, you know.

SPEAKER_05: I would date that, not marry that, but well, it wants to join the, it wants to join the 5 trillion club. It's tired of these piker numbers hanging around that 2 trillion number. That just ain't, I mean, obviously the social network elections. Yeah. No, it's like the social network. Look, man, a trillion dollars. So last year, right? You want, you want to be a big dog? You got a game higher. You got to be in the 5 trillion club, right? Like that's if you're not a piker, that's where you're hanging out these days, right? Five

trillion above. You got anything else, man? Uh, no, I, we have PPI coming up, uh, Thursday. That's going to be, you know, the, you know, the right way to play this. Maybe it's time to start building a position in video, start small, start nibbling. Yeah. I mean, I got to think about that. I mean, it feels like, I mean, you know, the risk is jumping out of the frying pan of the fire, right? Um, the headline risk is substantial. Well, 148, I'm telling you that's, that's where I would be like, cool. This is where you need rock on speed down.

SPEAKER_04: Let's pick them up. Hey, drop. What do you think, man? Speaking of people that get their phone calls taken. Yeah. Yeah. Let me just, let me just, let me, let me sorrows this and pick over, peek over your shoulder. To be clear though, like what he's going to do is ask the 20 year olds what they think. That's how he operates with that kind of stuff. He just has really smart kids that he leans on for tech. Not to say it's no opinion for himself, but he's made it. I don't know. No, but they don't have the scar tissue. Yeah. They don't have the scar tissue. That's what we got here.

SPEAKER_05: We got to remember that in the next bubble. We got to get some young ringers in here. You know, rash players. That scar tissue just holds us up too much, man. Loathe me up on Doge, baby. Anyway, that does it for me, man. You good? Good to go. All right, brother. All right, guys, that does it for us. As always, you can follow us on social media. I'm at KYR Radio. Chase is at Pine Cone Macro. Get the video feed on YouTube. Just search Know Your Risk Podcast.

SPEAKER_01: For advisory services, go to bullworkcapitalmanagement.com. You guys know the drill. We'll see you tomorrow. Have a wonderful evening. You're listening to Know Your Risk Podcast. Alan, subscribe at knowyourriskpodcast.com. Investment advice cannot be given without a client service agreement. Zach Abraham is an investment advisor representative of Trek Financial, an SEC registered investment advisor. Bullwork Capital Management is a marketing name only and does not carry a separate registration.